Chapter Ten

Services Have Grown without Much Policy Support

India Develops a Plan for Champion Services

The Union Cabinet approved a plan to raise India's share in global service exports from 3.3 per cent in 2015 to 4.2 per cent in 2022. It focused on twelve identified 'champion service sectors': IT and ITeS; tourism and hospitality; medical value travel; transport and logistics; accounting and finance; audio-visual; legal; communication; construction and related engineering services; environmental; financial; and education. The government proposed the creation of a dedicated fund of Rs 5000 crore to promote the development and realization of the export potential of these services.

In September 2019, the Ministry of Finance approved an umbrella scheme, the Champion Services Sector Scheme (CSSS), along with sectoral schemes of six ministries in charge of the identified services—human resources; telecommunication; Ayurveda, Yoga and Naturopathy, Unani, Siddha and Homeopathy (AYUSH); housing and urban affairs; tourism; and IT—for a total commitment of Rs 3370 crore from 2019–20 to 2023–24.

The Services Export Promotion Council (SEPC) publishes an annual report to chart progress and provide data on export of services as well as implementation of CSSS. The 2019–20 report throws no positive light on the gains made by the country in this regard. Nor does the annual report of the Department of Commerce.

As Indian firms have not established much commercial presence abroad, the country's share in global exports of all services, including by commercial presence abroad, has fallen from 3.3 per cent in the balance of